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Study Notes

The General Insurance Business (Nationalisation) Act, 1972

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INTRODUCTION

- The General Insurance Business (Nationalisation) Act, 1972 (the “Act”) was a significant legislative development in India's insurance sector as it **marked the nationalization of general insurance business** in the country.
- Before the enactment of the Act, the general insurance industry in India was predominantly in the hands of private insurance companies. However, the government decided to nationalize the sector **to provide affordable insurance coverage to a wider section of the population**, especially in rural areas.
- The Act **led to the acquisition and transfer of the undertakings of existing general insurance companies to the government**. It provided for the **creation of four government-owned insurance companies**:
 - ✓ National Insurance Company Ltd.,
 - ✓ New India Assurance Company Ltd.,
 - ✓ Oriental Insurance Company Ltd., and
 - ✓ United India Insurance Company Ltd.
- The Act **mandated the transfer of** all assets, liabilities, and obligations of the existing general insurance companies to the newly formed government-owned companies. Thus, this **led to the monopoly of the Government** in the general insurance sector in India.
- The Act **also led to the establishment of the General Insurance Corporation of India** to control, supervise, and inspect the functioning of the four nationalized insurance companies.
- The primary **objective of the Act was**:
 - ✓ *to spread the reach of general insurance services across India, particularly in rural and underserved areas;*
 - ✓ *to provide affordable insurance coverage and promote economic development by reducing risks for individuals and businesses;*
 - ✓ *to ensure that insurance services were available to meet the needs of various sectors, including agriculture, industry, trade, and commerce.*
- The Act came into force on January 1, 1973.

SOME IMPORTANT DEFINITIONS

- Section 3 (a) **acquiring company** means any Indian insurance company and, where a scheme has been framed involving the merger of one Indian insurance company in another or the amalgamation of two or more such companies, means the Indian insurance company in which any other company has been merged or the company which has been formed as a result of the amalgamation.
- Section 3 (b) **appointed day** means such day not being a day later than the 2nd day of January, 1973, as the Central Government may, by notification, appoint.
- Section 3 (e) existing insurer means every insurer the management of whose undertaking has vested in the Central Government under section 3 of the General Insurance (Emergency Provisions) Act, 1971, and includes the undertaking of the Life Insurance Corporation in so far as it relates to the general insurance business carried on by it.

- Section 3 (f) **foreign insurer** means an existing insurer incorporated under the law of any country outside India.
- Section 3 (i) **Indian insurance company** means an existing insurer having a share capital who is a company within the meaning of the Companies Act.

TRANSFER OF SHARES OF INDIAN INSURANCE COMPANIES SECTION 4

- On the appointed day, **all the shares in the capital of every Indian insurance company** shall **stand transferred to and vested in the Central Government free of all** trusts, liabilities and encumbrances affecting them.
- The Central Government will **transfer at least ten shares of each of these companies to specific individuals** through a notification. This transfer will allow these Indian insurance companies to operate as Government-owned entities.
- **Notification shall specify** the names and description of the persons to whom the shares are transferred and the particulars of the shares which are transferred to each such person.
- A **copy of every notification shall be sent by the Central Government to the concerned Indian insurance company**, who shall rectify its register of members by including therein the persons mentioned in the notification as the holders of the shares specified therein.
- The transfer of shares to the Government **won't change any rights the insurance company** had against shareholders who hadn't paid for their shares, or for any other reasons.

TRANSFER OF UNDERTAKINGS OF OTHER EXISTING INSURERS SECTION 5

- On the appointed day, the **business of non-Indian insurance companies will be transferred to the Central Government** which will then decide which Indian insurance company will take over that business through a notification.
- A notification can state that **the business can be transferred to more than one Indian insurance company**, following certain conditions and guidelines.

EFFECT OF TRANSFER OF UNDERTAKINGS SECTION 6

- The **business of every existing insurer** mentioned in section 5 shall encompass all their assets, rights, powers, properties, cash, funds, investments, and everything connected with it. This includes debts, liabilities, and obligations.
- **All legal documents and agreements** involving insurers mentioned in section 5 will continue to **be valid and enforceable with the Indian insurance company to which the business has transferred**. They can be executed and enforced as if the Indian insurance company was originally a party to these agreements.
- If, on the appointed day, **there is any ongoing legal case or proceeding related to the business of the undertaking which has been transferred** under section 5 is **pending by or against any such existing insurer the same shall not abate, be discontinued or be in any way prejudicially affected** by reason of the transfer of the undertaking or

of anything contained in this Act. Instead, the Indian insurance company to which the business has transferred can carry on, pursue, and enforce the case or legal process.

- In the case of a foreign insurer or the Life Insurance Corporation, the rules in section 5 and the preceding sections **only apply to property related to their general insurance business in India**, or in the case of the Life Insurance Corporation, their general insurance business worldwide. This includes rights, powers, debts, liabilities, contracts, agreements, and legal proceedings related to this specific business.

TRANSFER OF SERVICE OF EXISTING EMPLOYEES IN CERTAIN CASES SECTION 7

- Every full-time officer or employee of an existing insurer, excluding Indian insurance companies, who was primarily engaged in the general insurance business before the appointed day, will **automatically become an officer or employee of the Indian insurance company in which that insurer's business has been transferred**. They will **retain their position** under the Indian insurance company with the same terms, including rights to pension and gratuity, **as if there had been no transfer**. This arrangement continues unless their employment is terminated by the Indian insurance company, or until his remuneration, terms and conditions are duly altered by that Indian insurance company.
- However, if an officer or employee provides written notice to the Central Government or its nominee before the appointed day, expressing their intention not to join the Indian insurance company, this rule does not apply to them.
- If any question arises as to whether any person was a whole-time officer or employee, or as to whether any officer or employee, was employed wholly or mainly in connection with the general insurance business of the existing insurer before a certain date, it shall **be sent to the Central Government within two years from that date**.
- When the services of an officer or employee are transferred, they shall **not be eligible for compensation** under the Industrial Disputes Act, 1947, or any other law. Courts, Tribunals, or authorities shall not entertain such claims.

PROVIDENT, SUPERANNUATION, WELFARE AND OTHER FUNDS SECTION 8

- Where an existing insurer has established a provident, superannuation, welfare, or any other fund for the benefit of his employees and constituted a trust for that (existing trust), all the money in that fund on the appointed day, together with any other assets belonging to such fund, shall **stand transferred to and vested in the Indian insurance company on the appointed day free from any such trust**.
- Where all the employees of the Life Insurance Corporation or any other existing insurer do not become employees of an Indian insurance company, the money and other assets belonging to any such fund, shall **be apportioned between the trustees of the fund and the Indian insurance company**; and in case of **any dispute about such apportionment the decision of the Central Government thereon shall be final**.
- Where the undertaking of an existing insurer has **vested in more than one Indian insurance company**, the **Central Government may provide for the apportionment**

among such Indian insurance companies of money and other assets belonging to any existing trust relating to that undertaking.

- The Indian insurance company shall, **as soon as may be after the appointed day constitute** in respect of the moneys and other assets which are transferred to and vested in it **one or more trusts** having objects as similar to the objects of the existing trusts.
- Where all the money and other assets belonging to an existing trust are transferred to and vested in an Indian insurance company, the trustees of such trust shall, as from the appointed day, **stand discharged from the trust, except as respects things done or omitted to be done before the appointed day.**

FORMATION OF GENERAL INSURANCE CORPORATION OF INDIA SECTION 9

- The Central Government shall **form the General Insurance Corporation of India for the purpose of** superintending, controlling, and carrying on the business of general insurance.
- The **authorised capital of the Corporation shall be rupees two hundred and fifty crores, divided into two hundred and fifty lakhs fully paid-up shares of one hundred rupees** each, out of which **rupees five crores shall be the initial subscribed capital** of the Corporation.
- It shall **not be necessary to add the word Limited** as the last word of the name of the Corporation.

TRANSFER TO CORPORATION OF SHARES VESTED IN CENTRAL GOVERNMENT SECTION 10

- All shares of Indian insurance companies transferred to the Central Government as per Section 4, except those given to specific individuals, **will be transferred to and vested in the Corporation.** The insurance companies must update their records to show the Corporation as the shareholder of these shares.

TRANSFER TO CENTRAL GOVERNMENT OF SHARES VESTED IN CORPORATION SECTION 10A

- All the **shares in the capital of the acquiring companies**, being:
 - ✓ the National Insurance Company Limited;
 - ✓ the New India Assurance Company Limited;
 - ✓ the Oriental Insurance Company Limited;
 - ✓ the United India Insurance Company Limited,and vested in the Corporation before the commencement of the General Insurance Business (Nationalisation) Amendment Act, 2002 shall, on such commencement, **stand transferred to the Central Government.**

ENHANCEMENT OF EQUITY CAPITAL OF GENERAL INSURANCE COMPANIES SECTION 10B

- The General Insurance Corporation and the insurance companies specified in section 10A **may, raise their capital for:**
 - ✓ increasing their business in rural and social sectors,
 - ✓ to meet solvency margin and
 - ✓ such other purposes, as the Central Government may empower in this behalf.

AMOUNTS TO BE PAID FOR TRANSFER AND VESTING OF SHARES OR UNDERTAKINGS SECTION 11

- For the transfer of the shares of each Indian insurance company to, and vesting in, the Central Government, the **Central Government shall pay to the Corporation**, for distribution to the shareholders of each such company, **the amount specified** against such company in the corresponding entry **under column (3) of Part A of the Schedule**.
- For the transfer to, and vesting in the Central Government, of the undertaking of each existing insurer, who is not an Indian insurance company, **the Central Government shall pay to the Corporation**, for payment to each such existing insurer, **the amount specified** against such insurer in the corresponding entry **under column (3) of Part B of the Schedule**.

DISBURSEMENT OF AMOUNTS BY CORPORATION SECTION 12

- The total amount paid by the Central Government under section 11 shall **be treated as additional contribution to the subscribed capital of the Corporation** and it shall stand allotted to, and vested in, the Central Government.
- The Corporation shall **distribute the amount received** under Section 11 **to the shareholders of Indian insurance companies and existing insurers**, based on their rights and interests. In case of any doubt or dispute about who should receive the money, the Corporation will refer the matter to the Central Government for a decision and then follow the Government's decision.

MODE OF PAYMENT SECTION 13

- Where the amount referred to in section 11 is to be given:
 - ✓ to the members of an Indian insurance company, the amount due to each such member shall be paid in full, where it does not exceed twenty-five thousand rupees, and where it exceeds twenty-five thousand rupees, each such member shall be paid twenty-five thousand rupees and the balance of the amount due to such member shall **be paid to him in three equal annual instalments, the first of which shall fall due on the appointed day;**
 - ✓ to a foreign insurer, it shall **be given to him in cash within three months** from the appointed day;
 - ✓ to the Life Insurance Corporation, it shall be given to it in **three equal annual instalments, the first of which shall fall due on the appointed day;**

- ✓ to an existing insurer who is a **co-operative society**, it shall **be distributed as soon as may be after the appointed day** in accordance with the rules of the society which will apply in case of dissolution of the society;
- ✓ to an existing insurer **not falling within any of the foregoing provisions**, it shall be apportioned by the acquiring company among the individual policy-holders of the insurer whose policies with that insurer were in force on the appointed day and were comprised in the undertaking of such insurer in proportion to the premiums paid by the policy-holders under such policies and **every such payment shall be made either:**

- in cash, to be sent by postal money order, or
- at the option of the policy-holder, as a deduction in the premium due at the time of the renewal of the policy and such option shall be exercised by the policy-holder before the expiry of three months from the appointed day (or within such further time not exceeding three months as the Central Government may, on the application of the policy-holder, allow); and the option so exercised shall be final and shall not be altered or rescinded after it has been exercised:

If any policy-holder fails to exercise his option within the time allowed, he shall be **deemed to have exercised his option in favour of payment in cash by postal money order.**

- Where **any amount is payable whether in instalments or otherwise**, the unpaid amount, where its payment has become due shall **carry interest at the rate of four per cent per annum** from the appointed day.

AMOUNT PAYABLE TO SHAREHOLDERS MAY BE PAID TO NAMED PERSONS INSTEAD IN CERTAIN CASES SECTION 14

- If a majority of the members of an Indian insurance company, **representing at least two-thirds of the company's value**, agree at a specially convened meeting before the appointed day, that the amount payable to the company's members can be given to a person or group nominated by those members for conducting a business.
- The **Central Government may approve** this if it's satisfied that those who disagree with this decision will still be compensated for their shares and may also **determine the conditions for this transfer.**
- **No resolution passed** at any such meeting as mentioned above and held after the appointed day **shall have any effect unless** the meeting has been convened after **obtained the approval of the Central Government.**

PAYMENT INTO COURT IN CASE OF RIVAL CLAIMS SECTION 15

- Where a claim to the amount payable under section 11 is made by two or more persons adversely to one another, the corporation may **cause the amount to be deposited in**

any civil court having jurisdiction in that behalf and the Court shall decide as to whom the payment shall be made.

SCHEMES FOR MERGERS OF COMPANIES, ETC. SECTION 16

- If the Central Government is of the opinion that it is necessary for the efficient operation of general insurance, it **can create one or more schemes through notifications** providing various aspects, such as:
 - ✓ **Merging Indian insurance companies or forming new ones through amalgamation:** the merger in one Indian insurance company of any other Indian insurance company, or the formation of a new company by the amalgamation of two or more Indian insurance companies;
 - ✓ **Transferring assets, liabilities, and business from one company to another:** the transfer to and vesting in the acquiring company of the undertaking (including all its business, properties, assets and liabilities) of any Indian insurance company which ceases to exist by reason of the scheme;
 - ✓ **Defining the acquiring company's structure, capital, and management Board:** the constitution, name and registered office and the capital structure of the acquiring company and the issue and allotment of shares;
 - ✓ **Modifying the acquiring company's Articles and Memorandum:** the alteration of the memorandum and articles of association of the acquiring company for such purposes as may be necessary to give effect to the scheme;
 - ✓ **Retaining the services and terms of employment for employees:** the continuance in the acquiring company of the services of all officers and other employees of the Indian insurance company which has ceased to exist by reason of the scheme, on the same terms and conditions which they were getting or, as the case may be, by which they were governed immediately before the commencement of the scheme;
 - ✓ **Adjusting pay scales and terms of service as needed:** the rationalisation or revision of pay scales and other terms and conditions of service of officers and other employees wherever necessary;
 - ✓ **Transferring employee funds like provident and superannuation:** the transfer to the acquiring company of the provident, superannuation, welfare and other funds relating to the officers and other employees of the Indian insurance company which has ceased to exist by reason of the scheme;
 - ✓ **Managing legal proceedings involving the company:** the continuance by or against the acquiring company of legal proceedings pending by or against any Indian insurance company which has ceased to exist by reason of the scheme, and the initiation of such legal proceedings, civil or criminal, as the Indian insurance company might have initiated if it had not ceased to exist;
 - ✓ **Handling any necessary additional matters to make the scheme effective:** such incidental, consequential and supplemental matters as are necessary to give full effect to the scheme.

- In framing schemes, the **object of the Central Government shall be to ensure** that ultimately there are up to four companies (excluding the Corporation) in existing and that they are so situate as to render their combined services effective in all parts of India.
- Where a scheme provides for the transfer of any property or liabilities, then, by virtue of the scheme, the property shall **stand transferred to and vested in, and those liabilities shall be transferred to and become the liabilities of, the acquiring company.**
- If the rationalisation or revision of any pay scale or other terms and conditions of service under any scheme is not acceptable to any officer or other employee, the acquiring company **may terminate his employment by giving him compensation equivalent to three months' remuneration, unless the contract of service with such employee provides for a shorter notice of termination.**
- Regardless of the Industrial Disputes Act of 1947 or any other laws in place, when an officer or employee from an Indian insurance company is transferred to the acquiring company, they will **not be entitled to compensation** under these laws, and any claims in this regard will not be entertained by Courts, Tribunals, or Authorities.
- The Central Government may, by notification, add to, amend, or vary any scheme framed.
- The power to frame a scheme, and the power to add to, amend or vary any scheme framed under this section, **shall include the power to frame such scheme with retrospective effect from a date not earlier than the appointed day.**

FUNCTIONS OF CORPORATION SECTION 18

- The **functions of the Corporation** shall include:
 - ✓ the carrying on of any part of the general insurance business, if it thinks it desirable to do so;
 - ✓ aiding, assisting and advising the acquiring companies in the matter of setting up of standards of conduct and sound practice in general insurance business and in the matter of rendering efficient service to holders of policies of general insurance;
 - ✓ advising the acquiring companies in the matter of controlling their expenses including the payment of commission and other expenses;
 - ✓ advising the acquiring companies in the matter of the investment of their funds;
 - ✓ issuing directions to acquiring companies in relation to the conduct of general insurance business:
 - all the functions of the Corporation specified in this sub-section, on and from the commencement of the General Insurance Business (Nationalisation) Amendment Act, 2002, shall be performed by the Central Government.
 - ✓ In issuing any directions the Central Government shall keep in mind the desirability of **encouraging competition amongst the acquiring companies** as far as possible in order to render their services more efficient.

FUNCTIONS OF ACQUIRING COMPANIES SECTION 19

- Subject to any rules established by the Central Government and following its memorandum and articles of association, each **acquiring company is obligated to engage in the business of general insurance.**
- Every acquiring company must conduct general insurance business, **following the Central Government's rules and its own memorandum and articles of association.**
- When performing its functions, **each acquiring company should generally follow business principles.** If the Central Government or the Insurance Regulatory and Development Authority has issued any specific directions, **the company should also follow those directions.**

BALANCE OF PROFIT HOW TO BE UTILISED SECTION 20

- **After setting aside money for various expenses** like bad debts, asset depreciation, employee funds, government debts, and other necessary provisions, the **acquiring company will distribute the remaining profits as dividends.**

INTERIM PROVISIONS FOR MANAGEMENT OF INDIAN INSURANCE COMPANIES SECTION 21

- From the appointed day and until a new Board of directors is established for an Indian insurance company, **the Custodian in charge of managing the company's affairs** under the General Insurance (Emergency Provisions) Act, 1971, **will retain control.** The Custodian will have the authority, with guidance from the Central Government, to exercise all the powers and perform the actions typically done by the company or its Board of directors.
- The above provision shall **not prevent the Central Government from appointing someone else to manage the affairs of an Indian insurance company if needed** during the mentioned period. The appointed person can exercise the same powers and perform the same actions as a Custodian.
- The Custodian and the person appointed shall **be entitled to salaries and other allowances as the Central Government may specify** and shall **hold office during the pleasure of the Central Government.**

ACQUIRING COMPANIES TO HAVE THE EXCLUSIVE PRIVILEGE OF CARRYING ON GENERAL INSURANCE BUSINESS SECTION 24

- On and from the appointed day, the Corporation and the acquiring companies shall have the **exclusive privilege of carrying on general insurance business in India.**
- Except for insurers mentioned above and subject to section 36, **any registration certificate issued under the Insurance Act will become invalid starting from the appointed day.**

- ✓ *nothing as mentioned in the above provision shall apply to the carrying on by the Life Insurance Corporation of life insurance business and capital redemption and annuity certain business.*

EXCLUSIVE PRIVILEGE OF CORPORATION AND ACQUIRING COMPANIES TO CEASE SECTION 24A

- The exclusive privilege of the Corporation and the acquiring companies to conduct general insurance business in India **will end when the Insurance Regulatory and Development Authority Act, 1999 comes into effect**. After that, the Corporation and acquiring companies will continue their general insurance business in India following the rules of the Insurance Act, 1938.
 - ✓ *the Corporation shall, on and from the commencement of the General Insurance Business (Nationalisation) Amendment Act, 2002, cease to carry on general insurance business.*

ACQUIRING COMPANIES AND INCOME-TAX SECTION 26

- Under the Income-tax Act, 1961, **every acquiring company will be considered as both:**
 - ✓ an Indian company and
 - ✓ a company in which the public are significantly interested.

RIGHT OF ACQUIRING COMPANY TO SEEK RELIEF IN RESPECT OF CERTAIN TRANSACTIONS SECTION 28

- Where **an existing insurer has at any time within five years before the 13th day of May, 1971:**
 - ✓ made any payment to any person without consideration,
 - ✓ sold or disposed of any property of the insurer without consideration or for an inadequate consideration,
 - ✓ acquired any property or rights for an excessive consideration,
 - ✓ entered into or varied any agreement so as to require an excessive consideration to be paid or given by the insurer,
 - ✓ entered into any other transaction of such an onerous nature as to cause a loss to, or impose a liability on, the insurer exceeding any benefit accruing to the insurer,and the payment, sale, disposal, acquisition, agreement, or any other transaction made by an insurer **was not reasonably necessary for its general insurance business or lacked prudence**, the acquiring company can seek relief from the Court regarding that transaction. All parties involved in the transaction should be included in the application unless the court decides otherwise.

DUTY TO DELIVER POSSESSION OF PROPERTY AND DOCUMENTS RELATING THERETO SECTION 29

- Where any property appertaining to an existing insurer has been transferred to and vested in an Indian insurance company under section 5:

- ✓ every person in whose possession, custody or control any such property may be, shall deliver the property to the Indian insurance company forthwith,
- ✓ any person who immediately before such vesting has in his possession, custody or control any books, documents or other papers relating to an existing insurer shall be liable to account for the said books, documents, and papers to the Indian insurance company, and shall deliver them to that company or to such person as that company may direct.
- All the assets of an existing insurer appertaining to the undertaking held in deposit by the Reserve Bank of India under the Insurance Act or by trustees in trust shall **be delivered to the Indian insurance company**.

PENALTY FOR WITHHOLDING PROPERTY, ETC. SECTION 30

- If any person wilfully withholds or fails to deliver property, books, documents, or papers to an Indian insurance company as required by section 29, or wrongfully keeps property transferred to the Indian insurance company for purposes not allowed by this Act, they can be punished, upon complaint by the Indian insurance company, with **imprisonment for up to one year, a fine of up to one thousand rupees, or both**.

DISSOLUTION OF CORPORATION AND ACQUIRING COMPANIES SECTION 33

- The Corporation and acquiring companies are exempt from company winding-up laws. They can **only be placed in liquidation if the Central Government orders it and specifies the process**.

EXEMPTION SECTION 36

- **Nothing contained in this Act shall apply in relation to:**
 - ✓ *any general insurance business conducted by a State Government, especially concerning its properties or entities owned or significantly funded by the State Government, is excluded from certain provisions;*
 - ✓ *any general insurance business not falling under the above category which has been carried on by a State Government before the commencement of this Act, to the extent to which it is necessary to allow such business to run off:*
 - nothing contained in this clause shall be deemed to authorise the State Government to issue any new policies or renew any existing policies;
 - ✓ any insurer whose *business is being voluntarily wound up* or is being wound up by a court;
 - ✓ the *insurance business carried on by the Calcutta Hospital and Nursing Home Benefits Association Limited;*

- ✓ the insurance business carried on by the *Export Credit and Guarantee Corporation Limited* and the *Deposit Insurance Corporation* established under section 3 of the Deposit Insurance Corporation Act, 1961;
- ✓ any scheme in existence immediately before the 14th day of May, 1971 or any scheme framed after the said day with the approval of the Central Government for the insurance of crops or of cattle or of flood risks or of war or emergency risks.
- If the Central Government is satisfied that an insurer, **whether established before or after the appointed day, carries on only such general insurance business as is not carried on ordinarily by insurers**, it may, by notification, direct that nothing contained in this Act shall apply to such insurer.